

Annual Leave Policy

Northgate Group — HR Policy | Version 3.1 | Effective 1 January 2026 | Owner: People Operations

1. Purpose and Scope

This Annual Leave Policy sets out the paid annual leave entitlement for all permanent employees of Northgate Group, how annual leave is accrued, how it is requested and approved, and the limits that apply to carrying leave over between calendar years. It applies to all permanent full-time and permanent part-time staff in every department. Contractors, interns and agency workers are covered by the terms of their own engagement letters and not by this policy.

Annual leave is separate from sick leave, public holidays, parental leave and unpaid leave. Sick leave is governed by the Sick Leave Policy and does not draw down the annual leave balance described here.

2. Annual Leave Entitlement

The standard annual leave entitlement is 20 working days per calendar year for a full-time employee. The leave year runs from 1 January to 31 December. Part-time employees receive a pro-rated entitlement based on contracted days per week, rounded up to the nearest half day.

Employees who join part-way through the leave year receive a pro-rated entitlement calculated from their start date. Employees who leave part-way through the year have their balance recalculated on the same basis, and any leave taken in excess of the accrued balance is deducted from the final salary payment.

- Standard entitlement: 20 working days per calendar year.
- Accrual rate: 1.67 days per completed calendar month of service.
- Long service uplift: one additional day after five completed years, to a maximum of 25 days.
- Public holidays are granted in addition to the 20-day annual leave entitlement.

3. Accrual Rules

Annual leave accrues monthly in arrears at a rate of 1.67 days for each completed calendar month of service. Leave accrued in a given month becomes available to book on the first day of the following month. Employees may request leave slightly in advance of accrual within the same leave year, up to a maximum of five days, with written approval from the line manager.

Employees serving a probation period accrue annual leave from their first day but may not normally take annual leave during the first three months of employment, other than in exceptional circumstances approved by People Operations.

4. How to Request Annual Leave

All annual leave must be requested through the employee portal by raising an HR request of type Leave Request. The request must include the first day of absence as the from date and the last day of absence as the to date. Both dates are inclusive. Do not include weekends or public holidays that fall inside the range in your working-day count; the system deducts working days only.

Requests must be submitted at least five working days before the intended first day of absence. Requests covering more than five consecutive working days must be submitted at least ten working days in advance. Leave that has already been taken cannot be entered retrospectively except where the absence has been reclassified by People Operations.

5. Approval Process

A submitted leave request is routed to the employee's line manager for review and is visible to the HR administrator queue. The line manager is expected to approve or decline the request within three business days of submission. If no decision is recorded within five business days, the request is escalated automatically to the department head.

A request moves from Open to Pending while it is under review, and to Resolved once a decision has been recorded. A declined request is closed with a written reason. Approval is never automatic and leave should not be booked or paid for in advance of an approval being recorded.

Managers should consider team coverage, existing approved leave in the same period and business deadlines when deciding. Where two requests conflict, the earlier submission is normally given precedence.

6. Carry-Over Limits

A maximum of five unused annual leave days may be carried over into the following leave year. Carried-over days must be taken by 31 March of the new leave year, after which they expire and are not paid out. Balances above five days at 31 December are forfeited unless a written exception has been approved by the department head and People Operations before 15 December.

Exceptions are granted only where the employee was prevented from taking leave by documented business need, extended sickness or parental leave. Annual leave is not paid in lieu except on termination of employment.

7. Blackout Periods

Annual leave is not normally approved during defined blackout periods when business demand is at its highest. Requests falling inside a blackout period will be declined unless the department head confirms in writing that coverage is adequate.

- Year-end close: 15 December to 5 January, all departments.
- Quarter-end close: the final five working days of March, June, September and December, Finance only.
- Annual audit window: the first two weeks of February, Finance and Legal.
- Peak service periods notified by a department head with at least 30 days' notice.

8. Cancelling or Amending Approved Leave

An employee who wishes to cancel or shorten approved leave should add a comment to the original leave request rather than raising a new one. The line manager must confirm the change. Days released more than five working days before the start of the absence are returned to the balance in full.

The company may, in rare cases, ask an employee to postpone approved leave because of an unforeseen business need. Where this happens the employee will not lose the entitlement and any non-refundable costs already incurred will be reimbursed on production of receipts.

9. Contact

Questions about entitlement, accrual or a specific balance should be raised with People Operations through the employee portal. For urgent matters affecting pay, contact the HR administrator on duty. This policy is reviewed annually and may be updated without individual notice.